▼ VIEWPOINT

A NEW GEN-Z REGIME

As a younger leadership prepares to take charge in Nepal, India must reach out and strengthen diplomatic ties



BY RANJIT RAE

Nepal is readying for a seismic change in its political landscape as the Rashtriya Swatantra Party (RSP), established a mere four years ago, heads to a colossal majority in the recent elections. Venerable old parties—the Nepali Congress, Communist Party of Nepal (Unified Marxist–Leninist) and Maoists—who have dominated politics for over three decades, have been reduced to double-digit representation in the lower house of Parliament. Barring the Maoist leader Prachanda, virtually the entire senior leadership of these parties has been defeated. Replacing them is a group of new, young leaders (the average age of the new Parliament is 43) who are well-educated, tech-savvy, pragmatic and less ideological. RSP's Balendra Shah, the charismatic prime minister-in-waiting, has an engineering degree from India and is recognised for his work as mayor of Kathmandu. Many of the new leaders have lived and worked abroad, like US-returned RSP founder Rabi Lamichhane. The election outcome could be seen as a wholesale rejection of the old guard and the embodiment of a national expectation for the new generation to deliver.

Indeed, the RSP has taken on the mantle of the Gen-Z protesters of September 8-9, 2025, who sought meaningful change in the country's governing. While the immediate reason for the protests was the banning of some popular social media apps by the K.P. Oli government, public grievances run much deeper and relate to corruption and inequalities—the hashtag #nepokids went viral during the protests—with an astounding unemployment rate of 20 per cent pushing a third of the population to seek work abroad.

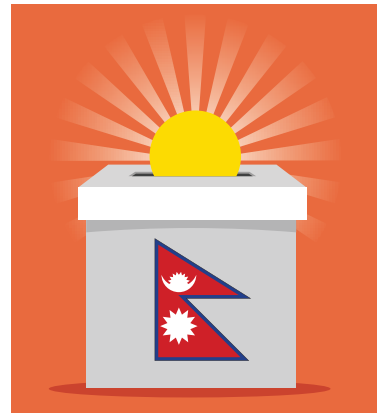


Illustration by RAJ VERMA

WITH A 20% UNEMPLOYMENT RATE PUSHING A THIRD OF NEPAL ABROAD FOR WORK, THE NEW GOVERNMENT'S MAIN GOAL IS CORRUPTION-FREE ECONOMIC DEVELOPMENT

The principal agenda for Nepal's new leadership is delivering corruption-free governance and economic development.

This election is significant in other respects, too. Balendra Shah—by projecting himself as a son of the soil in the densely populated Madhesh Province—has been able to unite the entire country, and has diminished ethnic and regional divisions. Regional parties of the southern belt Terai, which had been the vanguard of the struggle for Madheshi rights, have performed poorly. The Rashtriya Prajatantra Party, seeking a restoration of the monarchy, has been roundly rejected, winning just one direct seat.

For India, these developments necessitate a fresh look at our neighbourhood-first policy. Unlike the traditional leaders who were well-known, the newcomers do not have strong links with India. Of course, they realise the importance of India for Nepal's progress and prosperity and would like to forge closer links. Prime Minister Narendra Modi has already had a warm telephone conversation with the Rabi-Balendra duo.

This should be followed up with more exchanges. An immediate area where we can offer assistance, if requested, is in the evacuation of the Nepalese from the Gulf along with Indian citizens. Another area of collaboration could be the strengthening of development partnerships and connectivity programmes by convening an early meeting of the Joint Commission. Hydropower cooperation is already progressing well, but swift action is needed on the 6,000 MW Pancheshwar Multipurpose Hydroelectric Project. Programmes such as the Startup Partnership Network, linking Nepali startups with India's, should be expanded. On some of the sensitive political issues, such as the 1950 Treaty of Peace and Friendship and the boundary dispute, a discussion could begin in due course with a government that has a strong majority.

For China, though, the defeat of the Communist parties in Nepal is a setback, particularly given their efforts over the years to develop a unified Communist bloc in Nepal. It is possible that some of the joint projects of the Belt and Road initiative will be reviewed.

In Nepal, this is a moment of euphoria, of hope and promise. The old guard has been shown the door. A new horizon is on the anvil. India must offer its fullest support, engagement and cooperation to the incoming leadership. ■

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